

DEFINITION VARIANCE · AUDIT WORKSHEET

Same Words. Different Meanings. *Across Renewal Cycles, the Definitions Quietly Shrink.*

Three audit passes. Past contract versions. Silent drift.

This handout walks plan sponsors through how three PBMs typically read the same ten-word clause three different ways. The audit is on your own contract history: the renewal-by-renewal drift in your contract's high-impact definitions that costs the plan money without changing a visible word.

01 Pull every active and prior contract on file

List the current PBM agreement plus every prior version, renewal cycle, amendment, and addendum on file. Identify the high-economic-impact clauses across versions: rebate definition, AWP discount methodology, pass-through clause, performance guarantee thresholds, exclusion lists, audit rights scope.

02 Compare definitions clause-by-clause across versions

For each high-impact clause, lay the language side by side across versions. Note: what was added, what was removed, what was reworded.

Most plan sponsors assume the contract "stays the same" between renewals; definition variance is what makes that costly.

03 Estimate the dollar impact of each definition change

For each definition change, estimate dollar magnitude. Did narrowing the rebate definition by excluding "data licensing payments" reduce pass-through capture by 1-2%? Did changing the AWP source shift the discount calculation? Did adding a new exclusion to the GER calculation reduce the guarantee's coverage scope?

04 The Pattern PBS Sees Most Often

Across hundreds of PBM contract reviews and audits annually at PBS: rebate definitions narrow over successive renewals. Words like "manufacturer compensation" replaced with "manufacturer rebates." Categories carved out at renewal that were inside the definition before. The contract reads similar; the economics shift quarterly.

05 Paste-Ready: Send to Your Broker or PBM

DEFINITION VARIANCE WORKSHEET

Clause: _____

Version 1 (effective ____)

" _____ "

Version 2 (effective ____)

" _____ "

Version 3 (current)

" _____ "

Diff:

Words/phrases added: _____

Words/phrases removed: _____

Words/phrases reworded: _____

Estimated dollar impact (annual):

Per-claim impact: \$____

Annual claims volume: ____

Annual dollar impact: \$____

Renewal redline priority: HIGH / MEDIUM / LOW

06 This Quarter's Action Plan

STEP 1 • THIS WEEK

Pull the contract repository

Current + every prior version on file.

STEP 2 • WEEK 2

Compare high-impact clauses side by side

Use the worksheet above. Document changes per clause.

STEP 3 • WEEK 3

Estimate dollar impact per change

Use claims data to ground the estimate.

STEP 4 • AT RENEWAL

Bring the variance audit to the negotiation

Silent drift becomes loud once it's documented.